

3.1.1 The Economic Problem

The Nature and Purpose of Economic Activity

Candidates should understand that the central purpose of economic activity is the production of goods and services to satisfy needs and wants, and thereby to improve economic welfare. They should address the questions of what, how and for whom goods and services should be produced, and consider the role of economic incentives in providing the answers to these questions. Candidates should appreciate that economists take a broad view of production and consumption activities including, for example, housework, DIY and benefits derived from the natural environment.

Economic Resources

Candidates should understand the economists' classification of economic resources into land, labour, capital and enterprise, which are the factors of production.

The Economic Objectives of Individuals, Firms and Governments

Candidates should understand that individuals, firms and governments may have a range of economic objectives.

*Note: at AS, candidates do **not** need to know the $MC = MR$ profit maximising rule, but they should be aware that profit is the difference between revenue and cost.*

Scarcity, Choice and the Allocation of Resources

Candidates should appreciate that the choices made to deal with the problem of scarcity affect the allocation of resources. They should understand the role of incentives in influencing choices.

Candidates should know that the environment is an example of a scarce resource, which is affected by economic decisions.

Production Possibility Diagrams

Candidates should understand production possibility diagrams and be able to use them to illustrate different features of the fundamental economic problem, such as opportunity cost, under-use and the full use of economic resources, together with trade-offs and conflicting objectives.

Value Judgements, Positive and Normative Statements

Candidates should be able to distinguish between positive and normative statements. They should understand how value judgements influence economic decision-making and policy.